



1200 19th Street NW
Suite 300
Washington District Of Columbia
20036

November 30, 2017

Ms. Rachel Dickon
Assistant Secretary
Federal Maritime Commission
800 North Capitol Street NW
Room 1046
Washington, DC 20573-0001
Email: secretary@fmc.gov

Re: Petition No. P4-16

Dear Ms. Dickon,

Pursuant to the hearing notice at Federal Register Vol. 82, No. 222, page 55104, SSA Marine, Inc. hereby requests that Mr. Edward DeNike be permitted to testify at one of the FMC hearing dates with respect to the above petition, either January 16 or 17.

Mr. DeNike is the President of SSA Containers, an affiliate of Carrix, the parent company of SSA Marine and Tideworks Technology. Carrix is the largest privately held independent marine terminal operator in the United States. He also serves as chief operating officer for SSA Terminals, Carrix's largest joint venture; Pacific Maritime Services, Carrix's joint venture with COSCO; SSA Terminals (Long Beach), Carrix's joint venture with Mediterranean Shipping; and SSA Terminals (Seattle), Carrix's joint venture with COSCO.

Mr. DeNike has fifty years of experience in terminal/stevedore management and operations. He has directed numerous cargo operations since his original hiring by Crescent in 1966. He has been heavily involved in container equipment design and operation of marine terminals and is well versed in all aspects of the supply chain. Mr. DeNike also serves on the board of the Pacific Maritime Association.

Our Interest in the Proceeding

Our company is one of the premier terminal operators in the United States, and is based in Seattle, Washington. We have a notable presence at key strategic ports including Los Angeles/Long Beach, Oakland, and Seattle, and are also positioned at a number of international ports.

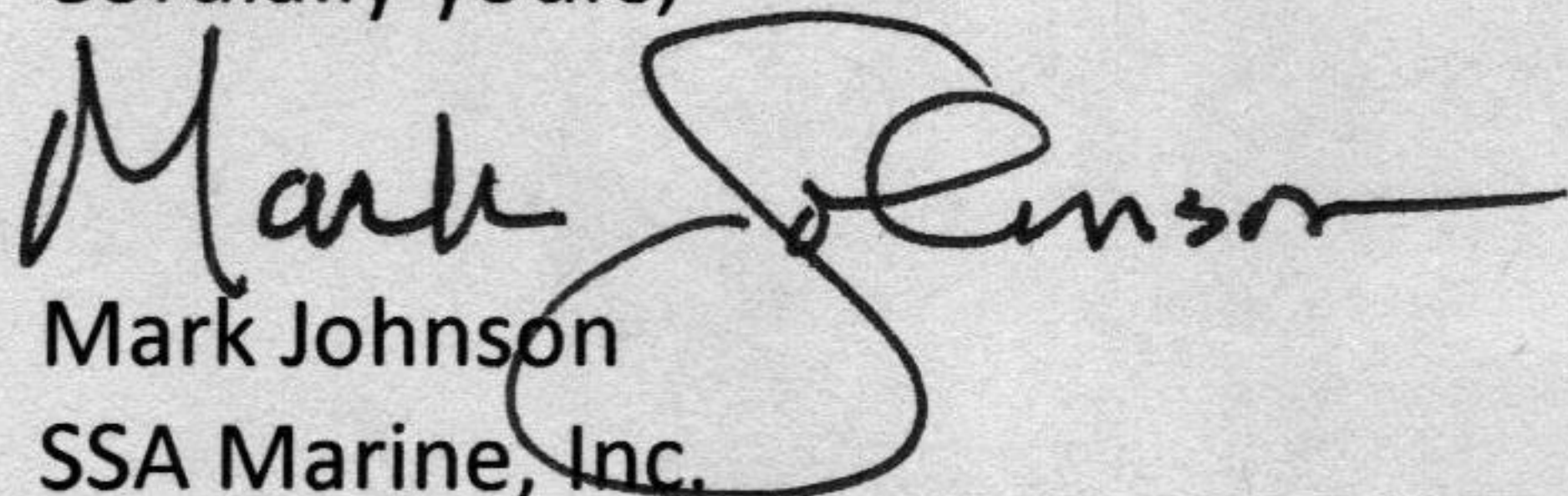
We have a long history and reputation for superior service and operations. While our core business is the operation of container terminals, we also manage non-container (break-bulk) port facilities and intermodal rail facilities in the United States and abroad.

Mr. DeNike is a recognized industry leader and has a thorough knowledge of all aspects of the supply chain, including demurrage and detention charges. Mr. DeNike's testimony is expected to focus on:

- Facts associated with West Coast port congestion, its underlying cause, and how operational alternatives can help terminals minimize congestion.
- The underlying basis for congestion, which is not necessarily just a U.S. West Coast phenomenon. From an operational perspective, we will explore how vessel size, tight berth windows affect congestion.
- There is fierce competition between marine terminals in a port. All terms and charges are ultimately influenced and controlled by the market, including free time and demurrage.
- Demurrage and detention are commercial means that have been designed to influence container behavior, so that cargo will be picked up during free time or secure the timely return of equipment.
- The commercial practices and terms related to detention and demurrage are well known and have been used in tariffs and contracts for many decades. There are many varied approaches to these practices, often developed through negotiation of the parties involved.
- Shippers have a choice. They select the port, the ocean carrier, and licensed motor carrier.
- There are well established mechanisms to resolve disputes over demurrage and detention. For example, the UIIA interchange agreement, terminal mitigation upon request of the payor, courts, or the Commission complaint and dispute resolution processes (including CADRS) are available to aggrieved parties.
- Why, in our view, a federal regulation to address operational practices is unnecessary and, in fact, counter-productive to supply chain efficiency.
- The petition for a proposed rulemaking would reduce the incentive for shippers to pick up their cargo during free time. The terminal is not a warehouse or storage facility.
- Demurrage varies terminal-to-terminal, and detention varies carrier-to-carrier. Because there is intense competition, many shippers exert significant market power so that free time is extended and/or demurrage waived; it is a common practice at marine terminals. In addition, there are countless individual fact situations that would not be appropriately addressed in a blanket rule.

If there is further information needed, please do not hesitate to contact me. Given Mr. DeNike's schedule, please confirm what date you would prefer him to testify. He will be prepared to offer oral comments and submit more detailed written comments for the record.

Cordially yours,


Mark Johnson
SSA Marine, Inc.

1200 19th Street, NW

Suite 300

Washington, DC 20036

(202) 463-2517

(202) 412-6697

Mark.johnson@ssamarine.com